

RELENTLESS RELIANCE

EVEN AS ITS CONVENTIONAL OIL AND GAS BUSINESS REORIENTS ITSELF IN AN UNCERTAIN WORLD, RELIANCE INDUSTRIES LIMITED'S FOCUS ON NEW-AGE VENTURES LIKE RETAIL AND TELECOM IS WHETTING ITS APPETITE FOR GROWTH

BY **KRISHNA GOPALAN**

PHOTO BY **BANDEEP SINGH**

THE OUTBREAK OF the Covid-19 pandemic in March 2020 set businesses back like very few calamities in the past ever have. It was time to reorient business models. Survival became the mantra. In the midst of the storm, India's largest private sector enterprise, Reliance Industries Limited (RIL), spent a good part of the time raising investor money for its telecommunications and retail businesses. For calendar year 2020, investments were raised to the tune of \$20 billion for its digital services arm Jio Platforms, followed by another \$6 billion for Reliance Retail Ventures. The message was two-fold. The investors were convinced about RIL's story. And also about India's long-term story. And there were impressive names among the investors, including Facebook, Google, TPG, Silver Lake, KKR, Abu Dhabi Investment Authority (ADIA) and Saudi Arabia's sovereign Public Investment Fund (PIF). Importantly, RIL's Chairman and Managing Director, Mukesh Ambani, put out a statement in June 2020 that the company was net debt-free. It allayed the fears of those who were apprehensive about a highly leveraged balance sheet, thanks to a series of investments in the company, plus RIL's own rights issue.

The journey of the transformation of RIL into a company with a robust set of new-economy businesses has been underway for a while now. Going from textiles to plastics to oil and gas exploration to refining, the conglomerate has in recent times been looking at new businesses relevant to the times, such as retail, renewable energy and telecom. The renewable energy foray was announced with much fanfare at last year's annual general meeting, always an occasion for something big. These initiatives have altered the DNA of the

RELIANCE INDUSTRIES

► **2022/2021 RANK** 1/1

► **AVERAGE MARKET CAP***
₹17,00,946.3 crore (20.8%)

► **TOTAL INCOME**
₹7,14,909 crore (47.7%)

► **PAT** ₹67,565 crore (26.9%)

► **ROE** 9.3%

► **TTM P/E MULTIPLE** 26.57

*FROM OCTOBER 1, 2021, TO SEPTEMBER 30, 2022; TOTAL INCOME, PAT AND ROE FOR FY22; P/E MULTIPLE AS OF NOVEMBER 7, 2022; TTM: TRAILING 12 MONTHS; FIGURES IN BRACKETS ARE PERCENTAGE CHANGE YoY; RESULTS ARE ON A CONSOLIDATED BASIS
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